

Japan: May Wages: Basic Wage Growth Maintains Upward Trend Consistent With Shunto Wage Hikes; Real Wages Positive for Fifth

BOTTOM LINE: Nominal cash wage growth slowed to +3.2% yoy in May, from +3.6% in April. Overall **basic wage growth** slowed to +3.0% yoy, from +3.3% in April. Basic wage growth for full-time workers (the main focus of shunto wage negotiations), on a “same sample” basis which is closely watched by the Bank of Japan, slowed to +2.4% in May (April: +2.5%), but maintained its upward trend. In the final tabulation of the 2026 shunto, the base pay rise slowed slightly to 3.5% from 3.7% in 2025, but a high wage hike rate was maintained, and the May wage data is consistent with the shunto results.

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KEY NUMBERS:

- Nominal cash wage (yoy): May: +3.2%, April: +3.6%
- Basic wage (yoy): May: +3.0%, April: +3.3%
- Part-timers' basic wage per hour (yoy): May: +4.9%, April: +4.7%
- Overtime wage (yoy): May: +2.9%, April: +4.8%
- Special wage (yoy): May: +5.2%, April: +10.3%
- Real wage (yoy; deflated by CPI excluding imputed rent): May: +1.4%, April: +2.0%

MAIN POINTS:

Nominal cash wage growth slowed to +3.2% yoy in May, from +3.6% in April.

Basic wage growth for all workers slowed to +3.0% yoy, from +3.3% in April. Basic wage growth for full-time workers, the target of base pay rise in shunto negotiations, slowed slightly to +3.4% yoy (April: +3.6%), but maintained high growth. **Basic wage growth for full-time workers on a “same sample” basis**, which is closely watched by the Bank of Japan, also slowed slightly to +2.4% in May from +2.5% in April, but maintained its upward trend. An industry breakdown of basic wage growth on a “same sample” basis shows manufacturing at +2.7%, wholesale & retail trade at +3.3%, and medical & welfare services at +1.2%.

On a “same sample” basis, nominal cash wage growth was unchanged from April at +2.9% yoy.

In the final tabulation of the 2026 shunto wage agreements announced by JTUC-RENGO on July 3, the agreed base pay rise slowed slightly to 3.5% from 3.7% in 2025, but a high wage hike rate was maintained, and the gap between large and mid-sized enterprises narrowed. The wage hikes agreed upon in the shunto begin to be reflected from the May-June pay checks, and the basic wage growth in the May

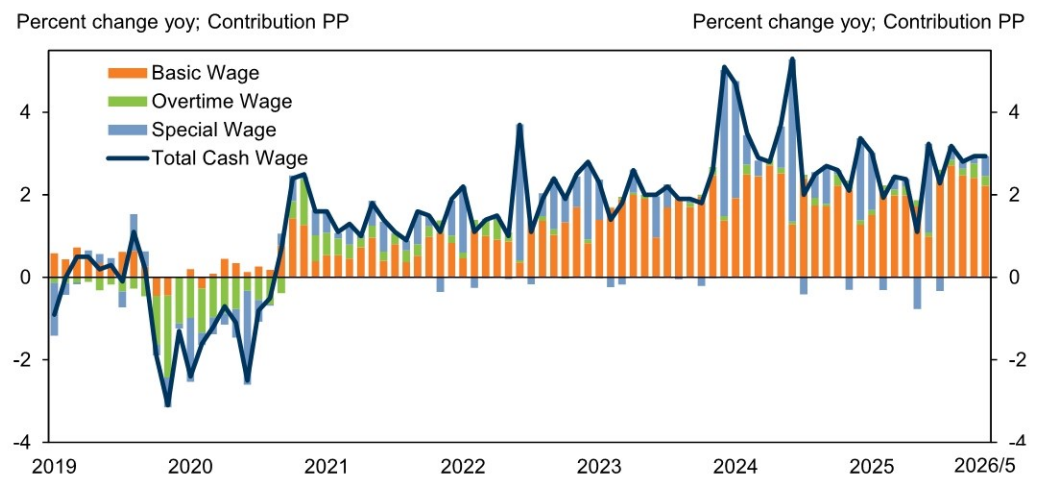
Monthly Labour Survey is consistent with the final shunto results.

Part-timers' hourly wages also accelerated further to +4.9% yoy in May, from +4.7% in April. In the shunto, wage hikes for part-timers' hourly wages were agreed upon at a growth rate of 6.18%, exceeding last year's rate (5.81%).

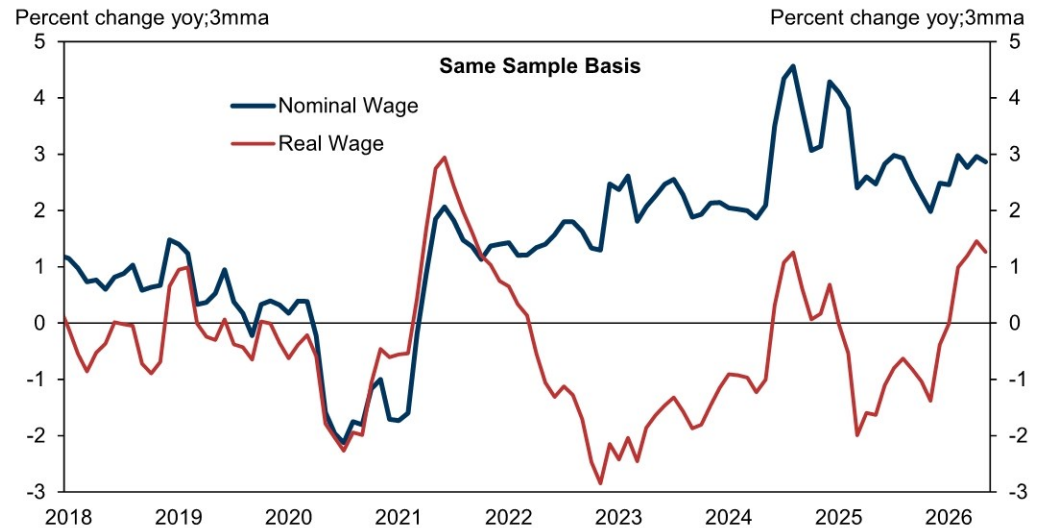
Meanwhile, overtime pay growth slowed sharply to +2.9% yoy in May (April: +4.8%), and special wage growth also slowed sharply to +5.2% yoy (April: +10.4%).

Real wages positive for fifth consecutive month: Combined with the inflation rate (CPI excluding imputed rent), which has decelerated from a 2025 average of +3.7% yoy to the mid-1% range since the start of 2026, real wages (nominal wages less the inflation rate) were positive for the fifth consecutive month, printing at +1.4% yoy in May, although this was a slowdown from +2.0% in April. Real wages deflated by the headline CPI rose +1.7% yoy (April: +2.2%).

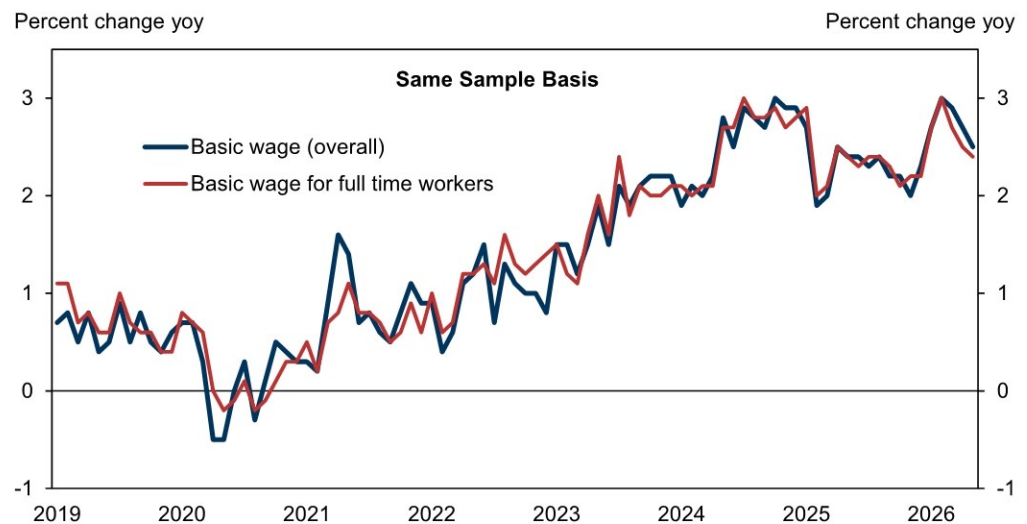
Exhibit 1: Nominal Cash Wage Growth and Contribution (Same Sample Basis)



Source: Ministry of Health, Labour and Welfare, Data compiled by Goldman Sachs Global Investment Research

Exhibit 2: Nominal and Real Wage (Same Sample Basis)

Source: Ministry of Health, Labour and Welfare, MIC, Data compiled by Goldman Sachs Global Investment Research

Exhibit 3: Basic Wage Growth

Source: Ministry of Health, Labour and Welfare

*In the **Monthly Labour Survey's sample**, while entities with 500 or more employees are fully surveyed, companies with 30 to 499 employees are surveyed on a sample basis continuously for three years, with one-third of the sample being replaced each January. This creates a very large sample bias for the headline wage growth rate (as the wage growth rate for newly sampled companies is calculated by comparing them with the wage level of different companies from the same month of the previous year). The "same sample" basis figures reduce this sample bias by focusing on a consistent set of companies, but even these figures cannot completely eliminate the impact of the January sample rotation. Furthermore, for **companies with 5-29 employees**, a similar issue occurs twice a year, in January and July. The **January sample rotation** for establishments with 5-29 employees is reflected in the January preliminary figures.

However, for **larger establishments, the rotation is applied starting from the January revised figures (and February preliminary figures).**

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